

CORPORATE GOVERNANCE

Mindteck (India) Limited ('Mindteck' or 'the Company') is committed to ethical corporate practices based on conscience, openness, fairness, professionalism and accountability, for the benefit of its stakeholders and for long term success. At Mindteck, we believe in maintaining the highest standards of corporate governance, not only in form but also in substance.

Over the years, our Company has ensured compliance of statutory requirements, effective governance systems and practices, and has worked towards transparency, disclosures, internal controls and promotion of ethics within the Company. The corporate governance philosophy of the Company has been further strengthened with the adoption of policies like Charter and Code of Business Conduct and Ethics Policy, Whistle Blower Policy, Fair Labor Policy, CSR Policy, Confidential and IP Protection Policy, Information Security Policy, Code for prohibition of Insider Trading, etc.

We comply with clause 49 of the Listing Agreement and substantially comply with the Corporate Governance Voluntary Guidelines. In accordance with clause 49 of the Listing Agreement with the Bombay Stock Exchange in India, a report containing the details of the governance system and processes at the Company is as under:

I COMPANY'S PHILOSOPHY ON CORPORATE GOVERNANCE

The Company's philosophy on Corporate Governance envisages attainment of highest levels of transparency, accountability and equity in all facets of its operations and in all its transactions with its stakeholders, including its employees, customers, shareholders, vendors, supporting agencies, government, and society at large.

The management aims to achieve its objective of increasing stakeholders' value while consistently observing the norms of Corporate Governance. The Management has institutionalized corporate governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The primary responsibility for ensuring corporate governance within the Company rests with the Board of Directors ('the Board'), which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and applicable SEBI Regulations. Keeping in view the Company's size, complexity, global operations and corporate traditions, Mindteck has adopted the following main principles:

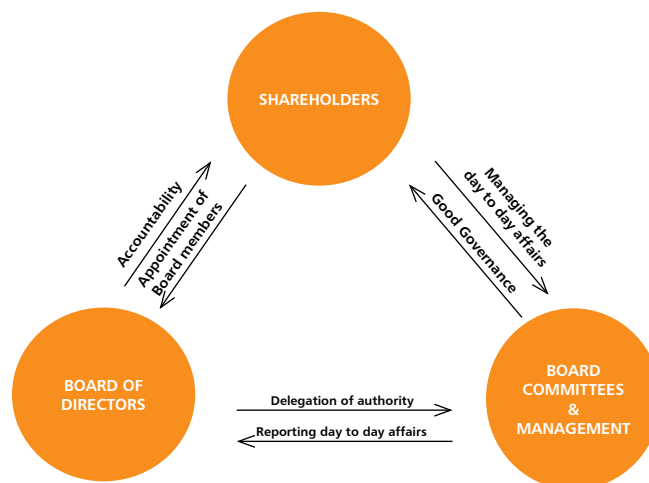
- (i) Constitution of the Board of the Company of appropriate composition, size and expertise.
- (ii) Ensuring the timely flow of information to the Board and its committees to enable them to discharge their functions effectively.

- (iii) Independent verification and safeguarding integrity of the Company's financial reporting.
- (iv) A sound system of risk management and internal control.
- (v) Timely and balanced disclosure of all material information concerning the Company to its stakeholders.

Our Corporate Governance philosophy is based on the following ideologies:

1. Transparency in our operations.
2. Maintaining prescribed levels of disclosure and openness in communication.
3. Comply with applicable laws of all countries in which we operate.
4. Maintain high standards of safety and health.
5. Adhere to good governance practices in spirit and not just in letter.

II THE GOVERNANCE STRUCTURE AT MINDTECK



The governance mechanism adopted at Mindteck:

- (i) The Board is appointed by the shareholders and is vested with responsibility of conducting the affairs of the Company with the objective of maximization of returns to all stakeholders.
- (ii) The Board of Directors is responsible for the vision, strategy and good governance of the Company. Board and Committees ensure accountability and transparency in the affairs of the Company to the stakeholders by directing and controlling the management activities.
- (iii) The Managing Director & CEO and Senior Management are responsible for setting up of business targets and day to day management of the Company in line with the objectives and principles set by the Board.

A. GOVERNANCE BY THE BOARD OF DIRECTORS

Composition:

The Board of Directors ('the Board') is at the core of our corporate governance practice and oversees how the management serves and protects the long-term interests of all our stakeholders. The Company's Board has an optimum combination of Executive, Non-Executive and Independent Directors with considerable experience in their respective fields to maintain the independence of the Board and to separate the functions of the Board from the management of the Company.

As at March 31, 2011 the Company has four Directors, of which three Directors are Non-Executive and Independent,

as defined in clause 49 of the Listing Agreement. The Managing Director & CEO manages the day to day affairs of the Company. The Board believes that the current size is appropriate, based on the present circumstances. The Board periodically evaluates the need for change in its composition and size.

None of the Directors on the Board hold directorships more than the statutory maximum limit as prescribed under the Act, clause 49 of the Listing Agreement and the Corporate Governance Voluntary Guidelines, 1999. Thus, none of the Directors on the Board are members of more than 10 Committees or act as Chairman of more than 5 Committees across all companies, in which they are Directors.

The names and categories of the Directors on the Board, directorships and shareholdings are given below:

Director	Designation & Category	Age	Equity Shareholding	No. of Directorship*		Committees	
				Public	Private	Chairman	Member
Mr. Guhan Subramaniam**	Chairman, Independent, Non-Executive Director	57	Nil	3	-	-	-
Mr. Pankaj Agarwal	Managing Director & CEO	48	12,00,000 (4.85%)	-	6	-	-
Mr. Vivek Malhotra	Independent, Non-Executive Director	47	Nil	-	1	-	-
Mr. Indresh Narain	Independent Non-Executive Director	66	Nil	3	-	2	2
Mr. Javed Gaya	Independent, Non-Executive Director	55	Nil	1	7	1	-

* Excluding Directorship in Mindteck (India) Limited.

**Resigned as Chairman and Director with effect from May 26, 2010.

All the Independent Directors of the Company furnish to the Company a declaration at the time of their appointment that they qualify the test of independence as laid down in clause 49 of the Listing Agreement and certify annually regarding their independence. The process of selection of Independent Directors is rigorous, transparent and objective and is aligned to the needs of the Company. None of the Non-Executive/Independent Directors have any material pecuniary relationship or transactions with the Company. None of Non-Executive/Independent Directors has served on the Board for more than nine years.

Board's definition of Independent Directors:

The Company has defined the independence as stipulated under clause 49 of the Listing Agreement. Accordingly, an Independent Director means a person who is not an officer or employee of the Company or its subsidiaries or any other individual having a material pecuniary relationship or transactions with the Company, which in the opinion of our Board of Directors, would interfere with the exercise of independent judgment in carrying out the responsibilities of a Director.

Board Meetings:

The Board normally meets once in a quarter and additionally as and when required. The calendar of the Board meetings is decided in consultation with the Board and the schedule of meetings is communicated to all Directors in advance to enable them to schedule their effective participation during the Board meetings. The items in the agenda are backed by comprehensive background information to enable the Board to take appropriate decisions. In addition to the information required under Annexure IA to clause 49 of the Listing Agreement, the Board is also kept informed of major events/items and approvals taken wherever necessary.

The Board met four times in the financial year 2010-2011 on May 17, 2010, August 11, 2010, November 10, 2010 and February 11, 2011.

Remuneration:

During the year 2010-2011, no remuneration or sitting fee has been paid to Managing Director & CEO. The Company paid sitting fee of Rs 20,000 per meeting to its Non-Executive/Independent Directors for attending meetings of the Board and Rs 10,000 for attending Committee meetings.

Details of attendance of the Directors and sitting fees paid to them are as follows:

Name of the Director	No. of Board Meetings during 2010-11		Whether attended last AGM held on Aug 11, 2010	Sitting fees for Board and Committee meetings
	Held	Attended		(in Rs.)
Mr. Guhan Subramaniam*	4	1	No	50,000
Mr. Pankaj Agarwal	4	4**	Yes	Nil
Mr. Vivek Malhotra	4	3	Yes	1,20,000
Mr. Indresh Narain	4	4	No	1,70,000
Mr. Javed Gaya	4	4	Yes	1,70,000

*Resigned as Chairman and Director of the Company with effect from May 26, 2010.

** Attended one meeting through teleconferencing.

Non-Executive/Independent Director's remuneration:

The members have, at the Annual General Meeting of the Company on August 11, 2010, approved the payment of commission to the Non-Executive/Independent Directors within the ceiling of 1% of the net profits of the Company as computed under the applicable provisions of the Companies Act, 1956. However, no commission has been paid to Non-Executive/Independent Directors of the Company during the current year. The amount of the said commission is decided each year by the Board of Directors and distributed amongst the Non-Executive/Independent Directors. The Company also reimburses the out-of-pocket expenses incurred by the Directors for attending the Meetings.

Shares and options held by Non-Executive/Independent Directors:

None of the Non-Executive/Independent Directors hold shares or options in the Company.

Proceedings of Board Meetings:

The agenda items for the Board meetings are decided in advance in consultations with Managing Director, and circulated amongst the Board for their revision. Every Board member can suggest additional items for inclusion in the agenda. Managers who can provide additional insights into the items being discussed in the Board meetings are also invited for the Board meetings. The decisions taken at the Board meetings are promptly noted and communicated to all concerned departments.

Information and updates to Board of Directors:

- Annual operating plans and budgets, including Capital budgets and any updates.
- Quarterly results for the Company and its operating divisions or business segments.
- Minutes of meetings of audit committee, other committees of the Board and subsidiaries.
- The information on recruitment and remuneration of senior officers.
- Show cause, demand, prosecution notices and penalty notices, which are materially important, if any.
- Fatal or serious accidents, dangerous occurrences, any material effluent or pollution problems, if any.

- Any material default in financial obligations to and by the Company, or substantial non-payment for goods sold by the Company, if any.
- Any issue, which involves possible public or product liability claims of substantial nature, including any judgment or order which, may have passed strictures on the conduct of the Company or taken an adverse view regarding another enterprise that can have negative implications on the Company, if any.
- Details of any joint venture or collaboration agreement or acquisition, if any.
- Transactions that involve substantial payment towards goodwill, brand equity or intellectual property, if any.
- Significant labor problems and their proposed solutions. Any significant development in Human Resources/ Industrial Relations front like signing of Wage agreement, implementation of Voluntary Retirement Scheme etc, if any.
- Sale of material nature, of investments, subsidiaries, assets, which is not in normal course of business, if any.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the risks of adverse exchange rate movement, if material.
- Non-compliance of any regulatory, statutory or listing requirements and shareholders service such as non-payment of Dividend, delay in share transfers, if any.

All the information to be provided to the Board as per Annexure-1A of clause 49 of the Listing Agreement was made available to the Board. The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company's Management on quarterly basis. In cases of business exigencies, resolutions of the Board are passed by circulation.

Recording minutes of proceedings at Board and Committee meetings:

The Company Secretary records the minutes of the proceedings of each Board and Committee meetings. Draft minutes are circulated to all the members of the Board/ Committee meetings for their comments. The minutes are entered in the minutes book immediately on approval and signed.

Post meeting follow up mechanism:

The important decisions taken at the Board/ Committee meetings are communicated promptly to the concerned departments/divisions. Action taken report on the decisions/ minutes of the previous meeting(s) is placed at the immediately succeeding meeting of the Board/Committee for noting and taking on record. Thus, an effective post meeting follow up, review and reporting of the decisions taken at the Board/ Committee meetings is ensured.

B. GOVERNANCE BY SUB-COMMITTEES OF THE BOARD OF DIRECTORS

Your Company has the following committees of Board of Directors:

- (i) Audit Committee
- (ii) HR and Compensation Committee
- (iii) Shareholders/Investors Grievance Committee
- (iv) Corporate Governance Committee
- (v) Administrative Committee

(i) Audit Committee

The Company's Board has constituted an Audit Committee pursuant to the provisions of the Companies Act, 1956 which has all the necessary features as required by the Listing Agreement.

(a) Composition:

Vivek Malhotra	- Chairman (Independent Director)
Indresh Narain	- Independent Director
Javed Gaya*	- Independent Director
Guhan Subramaniam**	- Independent Director

*Appointed with effect from July 2, 2010

**Resigned with effect from May 26, 2010

Ms. Usha T N, Company Secretary, acts as the Secretary of the Audit Committee.

(b) Objective/Powers: Powers of Audit Committee include:

- (i) To investigate any activity within its terms of reference;
- (ii) To have independent back office support and other resources from the Company;
- (iii) To have access to information contained in the records of the Company or from any employee;
- (iv) To obtain legal or professional advice from external sources;
- (v) To have the facility of separate discussions with both internal and external auditors as well as the management;
- (vi) To secure attendance of outsiders with relevant expertise, if it considers necessary.

(c) Roles and Responsibilities:

- (i) Recommend the appointment, re-appointment and removal of external auditor, internal auditor, approve terms of engagement including fixation of audit fee

and also approve the payment for any other services. Committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process.

- (ii) Review financial reporting process and the disclosure of financial information of the Company and also subsidiaries to ensure that the financial statement is correct, sufficient and credible. Also monitor the integrity of the financial statements of the Company.
- (iii) Review with management the quarterly and annual financial statements before submission to the Board, focusing primarily on:
 - Any changes in accounting policies and practices and reasons for the same.
 - Major accounting entries based on exercise of judgment by management.
 - Qualifications in draft audit report.
 - Significant adjustments arising out of audit.
 - The going concern assumption.
 - Compliance with accounting standards.
 - Compliance with stock exchange and legal requirements concerning financial statements.
 - Management discussion and analysis of financial conditions and results of operations.
 - Director's responsibility statement.
- (iv) Review with management, the statement of uses/ application of funds raised through an issue (ie. Public issue, rights issue, preferential issue, etc.), the statement of funds utilized for the purposes other than those stated in the offer documents/prospectus/ notice and the report submitted by the monitoring agency which monitors the utilization of proceeds of the public/rights issue as well as recommend to the Board the steps to be taken in this regard.
- (v) Review the adequacy of internal control systems and review internal audit reports, management letters relating to internal control weaknesses, if any.
- (vi) Review the adequacy of internal audit function, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit.
- (vii) Discussion, reviewing and follow up the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature including management override of internal controls and financial irregularities involving management team members.
- (viii) Discussions with external auditors before the audit commences, about nature and scope of audit as well as have post-audit discussions to ascertain any areas of concern.

- (ix) Review the Company's financial and risk management policies and systems. Assist executive management to identify the risk impacting the Company's business and document the process of risk identification, risk minimization and risk optimization as a part of risk management policy.
 - (x) Look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors and monitor utilization of funds raised through public and preferential issues.
 - (xi) Review the functioning of the Whistle Blower mechanism established in the Company.
 - (xii) Approve the appointment of the CFO (i.e., the Whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing his qualifications, experience & background.
 - (xiii) Monitor and approve all Related Party Transactions including any modification/amendment, with promoters or the management, their subsidiaries or relatives, etc. that may have potential conflict with the interests of Company at large and periodically review minutes of subsidiary companies.
 - (xiv) Any other matter referred to the Audit Committee by the Board of Directors of the Company.
- (d) **Meetings:** The Audit Committee meeting was conducted four times during the year, i.e. on May 17, 2010, August 11, 2010, November 10, 2010 and February 11, 2011. The minutes of the meetings are placed before the Board at the succeeding Board Meeting for information. Quorum was present at all the meetings.

Attendance Record in Audit Committee meetings held during the year, are given below:

Members	No of meetings	
	Held	Attended
Mr. Vivek Malhotra, Chairman	4	3
Mr. Guhan Subramaniam*	4	1
Mr. Indresh Narain	4	4
Mr. Javed Gaya**	4	3

*Resigned as Member with effect from May 26, 2010

** Appointed as the member of the Audit Committee with effect from July 2, 2010

(ii) HR & Compensation Committee

(a) Composition:

- Javed Gaya - Chairman (Independent Director)
- Pankaj Agarwal - Managing Director & CEO
- Guhan Subramaniam*- Independent Director

*Resigned with effect from May 26, 2010

- (b) **Powers/Roles:** The Terms of reference of the HR & Compensation Committee include the following:

- (i) To decide on all matters relating to the Company's stock option/share purchase schemes including the grant of options/shares to the Directors and employees of the Company and/or of its subsidiaries.
- (ii) To determine and make suitable recommendations to the Board in all matters relating to qualification, appointment, evaluation and remuneration of the Non-Executive/Independent Directors of the Board, Executive Directors of the Company and its managerial personnel under the Companies Act, 1956.
- (iii) To review performance and determine the remuneration payable to Executive Directors.
- (iv) Establishment and administration of employee compensation and benefit plans.
- (v) To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes/regulations/guidelines/Listing Agreements, etc.

As HR & Compensation Committee is responsible for all the objectives of Nomination Committee as suggested under CG Voluntary Guidelines, no separate Nomination Committee has been constituted by the Company.

- (c) **Meetings:** The Committee held two meetings during the year, i.e. on May 17, 2010 and November 10, 2010.

Attendance Record in HR & Compensation Committee meetings held during the year, are given below:

Members	No of meetings	
	Held	Attended
Mr. Guhan Subramaniam*	2	1
Mr. Javed Gaya**	2	2
Mr. Pankaj Agarwal	2	2

*Ceased to be a member w.e.f. May 26, 2010

** Appointed as Chairman of the Committee w.e.f. May 26, 2010

(iii) Shareholders/Investors Grievance Committee

The Shareholders/Investors Grievance Committee was formed to undertake the responsibilities of redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of Balance Sheet, non-receipt of declared Dividend, etc.

(a) Composition:

- Javed Gaya - Chairman (Independent Director)
- Indresh Narain - Independent Director
- Vivek Malhotra - Independent Director

Ms. Usha T N, Company Secretary acts as the Chief Compliance Officer.

- (b) **Objective/Powers:** The Shareholders/Investors Grievance Committee approves the transfer of shares, issue of duplicate share certificates etc. The Committee also oversees redressal of the shareholders' grievances/complaints and also the compliance with the SEBI (Prohibition of Insider Trading) Regulations, 1992.

Further, the Committee has delegated the power of transfer of shares to the Company Secretary and M/s. Universal Capital Securities Pvt. Ltd, Company's Registrars and Share Transfer Agents to attend to share transfers generally once in fifteen days, which are validated by the Committee.

- (c) **Meetings:** The Committee met four times during the year, i.e. on May 17, 2010, August 11, 2010, November 10, 2010 and February 11, 2011. The minutes of the meetings are placed before the Board at the succeeding Board Meeting for information. Quorum was present at all the meetings.

Attendance Record in Shareholders/Investors Grievances Committee Meetings held during the year, are given below:

Members	No of meetings	
	Held	Attended
Mr. Javed Gaya	4	4
Mr. Vivek Malhotra	4	3
Mr. Indresh Narain	4	4

Report of Investor Complaints received and disposed off during year ended March 31, 2011:

	No. of cases outstanding as on April 1, 2010	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2011
No. of Investor issues	Nil	4	4	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than 15 days. There were no cases, which were not solved to the satisfaction of the shareholders.

(iv) Corporate Governance Committee

(a) Composition:

Indresh Narain - Chairman (Independent Director)
Pankaj Agarwal - Managing Director & CEO
Guhan Subramaniam* - Independent Director
*Resigned with effect from May 26, 2010

- (b) **Objective:** Objective of the Committee is to ensure excellence in governance, foster standards of business conduct, and aim to achieve highest levels of transparency, accountability and equity in all facets of operations and transactions in pursuit of increased value to stakeholders.

(c) Terms of reference of the Corporate Governance Committee:

- Review Board/Corporate Codes and make suitable recommendations to the Board from time to time.
- Oversee Corporate Social Responsibility and Sustainability related issues.
- Review the Structure/Charters of other Board Committees and make suitable recommendations to the Board from time to time.
- Recommend best practices and standards in any particular area to the Board of Directors as per its mandate.

- (d) **Meetings:** During the year the Committee met on 17th May, 2010 and all members were present.

(v) Administrative Committee

(a) Composition:

Indresh Narain - Chairman (Independent Director)
Pankaj Agarwal - Managing Director & CEO

- (b) **Objective:** Objectives of the Committee is to enable the Directors to take faster decisions on day-to-day affairs of the Company, which would include transactions like authorization to officials, opening of bank accounts etc in the course of normal day-to-day business. Any such decision taken by the Administrative Committee needs ratification by the entire Board in their forthcoming meeting, failing which such resolutions stand to be cancelled.

- (c) **Terms of reference of the Administrative Committee:** The Administrative Committee is authorized to pass resolutions either at a meeting or through circular resolution relating to normal business transactions and such transactions include, but are not limited to:

- Appointment and authorization of employees of the Company for the conduct of the day to day transactions.
- Raise loans and cash credits for day to day transactions of the Company and create charges and satisfaction of loans/charges and authorize MD or any officials of the Company.
- Opening of bank accounts and authorize the officials of the Company to operate the accounts.
- Principal Officer of the Company to raise such loans required from time to time for the operations of the Company.
- Registration of transfer of shares and authorize issue of duplicate share certificates or to delegate the authority to Company Secretary or the Share Transfer Agent.
- Authorization to attend meetings on behalf of the Company.
- Allotment of shares on exercise of ESOP by the employees.

- (viii) Open branch offices/ units and enter into lease agreements for premises.
- (ix) Engage service providers for the Company.
- (x) Conduct any such activities in the normal course of day to day business.

The frequency, notice and agenda will be set by the Chairman of the Committee.

C. GOVERNANCE BY MANAGEMENT

OTHER DISCLOSURES:

Related Party Transactions:

During the year 2010-11, no materially significant related party transactions have been entered into by the Company with the Directors or management or their relatives that may have a potential conflict with the interest of the Company at large. The transactions with subsidiaries were at arm's length. Schedule 16 of the Financials as at March 31, 2011 contains a list of related party relationships and transactions as required by Accounting Standard-18 on Related Party Disclosures as specified in Companies (Accounting Standards) Rules, 2006.

Disclosures regarding the appointment or re-appointment of Directors: According to the Article 112 of the Articles of Association of the Company, one third of the Directors retire by rotation and if eligible, seek re-appointment at the shareholders annual meet. Mr. Indresh Narain will retire by rotation in the ensuing AGM. The Board has recommended his re-appointment and sought shareholders approval provided in the Notice convening the AGM. Copy of his Appointment letter will be made available to the Shareholders at the venue of the meeting.

Details of non-compliance by the Company, penalties, strictures imposed on the Company by Stock Exchanges or Securities and Exchange Board of India ('SEBI') or any statutory authority, on any matter related to capital markets, during the last three years:

No penalties have been imposed on the Company by the Stock Exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

COMPLIANCE CERTIFICATES:

Certificate on Corporate Governance:

As required under clause 49 of the Listing Agreement, Auditor's certificate is obtained and provided in the Annual Report.

CEO and CFO Certificate:

The Certificate given by Managing Director & CEO and CFO as per clause 49 in the prescribed format also form part of this Annual Report.

Code of Business Conduct and Ethics:

In compliance with clause 49 of the Listing Agreement, the Company has adopted a Code of Business Conduct and Ethics for Directors and Senior Management of the Company and its subsidiaries. All members of the Board and Senior

Management Personnel have affirmed compliance with the Company's Code of Conduct and Business Ethics. A copy of the said Code of Business Conduct and Ethics is available on our website www.mindteck.com.

DECLARATION REGARDING COMPLIANCE BY BOARD MEMBERS AND SENIOR MANAGEMENT PERSONNEL WITH THE COMPANY'S CODE OF CONDUCT

This is to confirm that the Company has adopted a Code of Business Conduct and Ethics for its Senior Management including the Managing Director and Non-Executive/Independent Directors. I confirm that the Company has in respect of the financial year ended March 31, 2011, received from the Senior Management Team of the Company and the Members of the Board, a declaration of compliance with the Code of Business Conduct and Ethics as applicable to them.

May 13, 2011
Bangalore

Pankaj Agarwal
Managing Director & CEO

Risk Management:

The Company has laid down systems to inform Board members about the risk assessment and minimization procedures. A Risk Committee consisting of Senior Management oversees the Risk assessment and mitigation of Risk. Risk Charters for all functions have been developed and Risk note would be presented to the Board periodically. Thus, there have been deliberate efforts made to identify the risk exposure of the organization and mitigation therein in light of the identified risk appetite of the organization.

The risks and Company's mitigation strategies are more fully described in the Management Discussions and Analysis and these procedures are periodically reviewed by Board of Directors to ensure effective controls.

Compliance with laws:

Mindteck believes in commitment to values and compliance of laws which are the hallmarks of good corporate governance. Legal Compliance Management at Mindteck transcends to using compliances as a yardstick to measure and manage business risks to maximize the stakeholder's values. The Board periodically reviews the status of compliance and the Company continuously aims to be compliant of all applicable laws at all times.

Management Discussion and Analysis:

A Management Discussion and Analysis Report has been included in the Annual Report.

Subsidiaries:

The Company has no Indian non-listed subsidiary. The statement pertaining to Section 212 of the Companies Act, 1956 contains details about the subsidiary companies of Mindteck (India) Limited.

Compliance with mandatory and non-mandatory requirements under clause 49 of the Listing Agreement:

The Company has disclosed all the mandatory requirements under clause 49 of the Listing Agreement. Among the non-mandatory requirements of clause 49 of the Listing Agreement, the Company has set up a HR & Compensation Committee and has a Whistle Blower Policy in place.

Whistle Blower:

The Company has adopted a Whistle Blower Policy and has established the necessary mechanism in line with clause 49 of the Listing Agreement with the Stock Exchanges, for employees to report concerns, alleged wrongful conduct, including unethical behavior, financial irregularities, sexual harassment, infringement and misuse of Intellectual Property. It also provides protection against victimization of employees who avail of the mechanism and also allows direct access to the Ethical Committee, Sexual Harassment Committee and the Audit Committee. The policy is displayed on the intranet of the Company.

Software Development Centers:**Bangalore:**

- 16/3, Cambridge Road, Ulsoor, Bangalore 560 008.
- 2730, 'Trikannika', 80ft Road, Opp. CMH Hospital, Indiranagar, Bangalore 560 038

Kolkata:

- Millennium Towers, Unit: T-29C, Tower II, Level IX, Plot No. 62, Block DN, Sector V, Salt Lake, Kolkata – 700 091

Delhi:

- 75/C (SF) Sector 18, Gurgaon, Haryana- 122 002

Investor Contacts:**Registered Office Address for correspondence:****Mindteck (India) Limited**

16/3, Cambridge Road, Bangalore 560 008.
Phone+91 80 4154 8000; Fax: +91 80 4112 5813
For additional information on the Company, refer website: www.mindteck.com

For queries relating to shares/dividend/compliance:**Usha T N**

VP – Legal & Company Secretary
Tel: 91 80 4514 8000 Extn. 8013
E-mail: usha.tnram@mindteck.com

Address of Registrar and Transfer Agents:**M/s. Universal Capital Securities Pvt. Ltd.,**

(formerly M/s. Mondkar Computers Pvt Ltd)
25, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.
Email address: Santosh.Gamare@unisec.in

Addresses of regulatory authority/stock exchanges:**Securities and Exchange Board of India**

Plot No. C4-A, G Block, Bandra Kurla Complex
Bandra (East), Mumbai 400 051
Tel 91 22 2644 9000/4045 9000

Registrar of Companies, Karnataka

Kendriya Sadan, Kormangala
Bangalore 560 034
Tel: 91 80 2563 3105
E-mail: roc.bangalore@mca.gov.in

Bombay Stock Exchange Limited

Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001
Tel 91 22 2272 1233

Depository for Equity Shares-India:**National Securities Depository Limited**

Trade World, A Wing, 4th and 5th floors
Kamala Mills Compound, Senapathi Bapat Marg, Lower Parel, Mumbai 400 013
Tel 91 22 2499 4200

Central Depository Services (India) Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai 400 001
Tel 91 22 2272 3333

D. GOVERNANCE TO SHAREHOLDERS**Corporate Profile:**

Mindteck (India) Limited was incorporated in Mumbai in 1991 as Hinditron Informatics Limited under the Companies Act, 1956. We changed our name to Mindteck (India) Limited in Sept, 1999. Later, in the year 2006, the registered office of the Company was shifted from Mumbai to Bangalore. The CIN of the Company is L30007KA1991PLC039702 and the address of our registered office is 16/3, Cambridge Road, Bangalore 560 008, Karnataka, India.

Forthcoming Annual General Meeting (AGM):

AGM for the year 2010-11 is scheduled on Thursday, September 22, 2011 at 3.00 p.m. at Redwood, Hotel Royal Orchid Central, 47/1, Dickenson Road, Manipal Centre, Bangalore 560 042.

Location and time of last three AGMs held

Date of AGM	Time of AGM	Location
July 30, 2008	4.00 p.m.	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 560 042
September 11, 2009	4.00 p.m.	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 560 042
August 11, 2010	4.00 p.m.	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 400 042

The following special resolutions were passed by the Company in its AGM/ EGMs listed below:

(i) EGM- February 05, 2008	- Acquisition of Mindteck Singapore Pte. Ltd., Mindteck UK Ltd and Chendle Holdings Ltd. on cash/stock basis. - Issue of equity shares to shareholders of Mindteck Singapore Pte. Ltd., Mindteck UK Ltd and Chendle Holdings Ltd. and other investors.
(ii) AGM – July 30, 2008	- Adoption of Mindteck Employees Stock Option Scheme 2008. - Extension of Mindteck Employees Stock Option Scheme 2008 to the employee of its subsidiaries across the globe. - Appointment and payment of remuneration to the Company's Managing Director under the Company's Act, 1956. - Issue of equity shares to shareholders of Chendle Holdings Ltd. and other investors.
EGM – January 19, 2009	Issue of equity shares to shareholders of Chendle Holdings Ltd. and other investors.
EGM – May 5, 2009	Reduction of capital by writing down share premium account.
AGM- Sept 11, 2009	None
AGM- August 11, 2010	None

There was no postal ballot taken during the year and no special resolutions were passed through the postal ballot procedure.

Financial Calendar: 1st April, 2010 to 31st March, 2011

Book Closure dates for the forthcoming AGM:

September 12, 2011 to September 22, 2011 (both days inclusive).

Your Company's equity shares are listed on the Bombay Stock Exchange Limited ('BSE') as at March 31st, 2011 and Stock code is – 517344.

Annual Listing fees for the year ended 2011-12 (as applicable) have been paid by the Company to BSE. The Annual Custodial fees for the year ended 2011-12 (as applicable) have been paid by the Company to NSDL & CDSL.

Share Transfer System:

The Company's Registrars and Share Transfer agent, M/s. Universal Capital Securities Pvt. Ltd. (formerly Mondkar Computers Private Limited), processes shares sent for transfer/transmission etc. in 2 batches every month and ensures that the share transfers/transmissions, etc. are effected within stipulated time. Transfers/transmissions which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 15 days of lodgments.

Secretarial Audit:

As per the requirements of clause 47 of the Listing Agreement and as a measure of good corporate governance practice, the share capital of the Company gets audited by practicing company secretary. Company submits the report to Stock Exchange. The audit reconciles on a quarterly basis, the total admitted capital with National Securities Depository Limited (NSDL) and Central

Depository Services (India) Limited(CDSL) with the total issued and listed capital of the Company. The audit has confirmed that the total issued/paid up capital is in agreement with the aggregate total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

Dematerialization of shares and liquidity:

The Company's shares are compulsorily traded in dematerialized form and are available for trading on both the depositories in India viz. National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL). Equity Shares of the Company representing 98.14% of the Company's equity share capital are dematerialized as on March 31, 2011. The Company continues to facilitate requests for demat of shares on a regular basis and the request can be routed through our RTA agent M/s. Universal Capital Securities Private Limited (formerly Mondkar Computers Private Limited). Under the Depository system, the International Securities Identification Number (ISIN) allotted to our shares is INE110B01017.

Investor's complaints

Name of the Complaint	2010-11		2009-10	
	Received	Attended	Received	Attended
No. of investors issues	4	4	6	6
No of legal cases	Nil	Nil	Nil	Nil

There are no legal proceedings related to disputes in the matter of investors' grievances.

Shareholding Pattern as on March 31, 2011:

	No. of shares	% of holding
Shareholding of Promoter and Promoter Group	16,169,857	65.29
Bodies Corporate/Financial Institutions	183,844	0.74
Individuals	1,103,395	4.46
NRI/OCBs	2,205,424	8.91
Clearing Members	13,428	0.05
Foreign National	98,783	0.40
Foreign Corporate Bodies	3,790,415	15.31
Mindteck Employees Welfare Trust	416,000	1.68
Mindteck Investors Trust	784,447	3.16
TOTAL	24,765,593	100.00

Shareholders holding more than 1% of the Company (other than promoters of the Company):

#	Name of shareholders	No. of shares	% of holding
1	Banco Efisa S.A.	2,726,668	11.01
2	Infotech Ventures Ltd.	261,747	1.06
3	Tadhamon International Islamic Bank	802,000	3.24
4	Mahesh Tharani	320,149	1.29
5	Pankaj Agarwal	1,200,000	4.85
6	Mindteck Employees Welfare Trust	416,000	1.68
7	Mindteck Investors Trust	784,447	3.16

Distribution of Shareholding as on March 31, 2011:

	As on March 31, 2011				As on March 31, 2010			
Range	Shareholders		Shares		Shareholders		Shares	
No. of Shares	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total
1 – 500	7265	95.656	485,597	1.961	7,414	95.38	494,737	1.998
501 – 1000	167	2.199	135,342	0.546	178	2.29	143,481	0.579
1001 – 2000	68	0.895	99,664	0.403	75	0.97	109,153	0.440
2001 – 3000	23	0.303	55,984	0.226	26	0.33	62,399	0.252
3001 – 4000	15	0.197	55,017	0.222	14	0.18	49,305	0.199
4001 – 5000	8	0.105	36,405	0.147	8	0.10	35,628	0.144
5001–10000	22	0.290	175,016	0.707	30	0.39	221,294	0.894
10001& above	27	0.355	23,722,568	95.788	28	0.36	23,648,596	95.494
Total	7595	100.00	24,765,593	100.00	7,773	100	24,764,593	100

Unclaimed Dividend:

Section 205 of the Companies Act, 1956, mandates that companies transfer Dividend that has been unclaimed for a period of seven years from Unpaid Dividend Account to the Investor Education and Protection Fund (IEPF). In accordance with the following schedule, the Dividend for the years mentioned as follows, if unclaimed within a period of seven years, will be transferred to IEPF.

Dividend Year	Type of Dividend	Dividend rate	Date of Declaration	Due date for transfer to IEPF	Amount Unclaimed ⁽¹⁾ Rs.
2004-05	Final Dividend	6%	29/07/2005	20/11/2012	125,827
2005-06	Final Dividend	10%	28/08/2006	20/12/2013	71,282
2006-07	Final Dividend	10%	28/09/2007	23/01/2015	83,410
2007-08	Final Dividend	5%	30/07/2008	23/11/2015	41,927
					322,446

⁽¹⁾Amount unclaimed as at March 31, 2011

The shareholders may please write to M/s. Universal Capital Securities Pvt. Ltd before due dates to claim their unclaimed dividend. Shareholders are cautioned that once unclaimed dividend is transferred to IEPF, no claim shall lie in respect thereof with the Company.

In accordance with the above provision, during the year Rs. 90,515 has been credited to the Investor Education and Protection Fund Account.

Communication to the Shareholders:

(i) Quarterly Results:

The Company has published its quarterly financial results in the Business Standard and Financial Express (English) and Times of India/ Samyuktha Karnataka (Kannada) /Times Nation (Kannada) newspapers during the year ended March 31, 2011. The results have also been submitted to the Bombay Stock Exchange where the Company's equity shares are listed and posted on the Company's website (www.mindteck.com).

(ii) News Releases and Presentations:

Official news releases, detailed presentations made to media, analysts etc. are displayed on the Company's web site: www.mindteck.com

(iii) Web Site:

The Company's web site www.mindteck.com contains a separate dedicated section "Investors" where all the shareholders' information is available along with the full Annual Report of the Company.

(iv) Annual Report:

The Annual Report of the Company containing the annual audited financial statements, both standalone and consolidated, along with the Auditors' Report thereon, the Director's Report, Management Discussion and Analysis Report and other important information is circulated to the shareholders of the Company.

(v) Soft Copies:

The Ministry of Corporate Affairs (MCA) has taken a "Green Initiative in Corporate Governance" (Circular No. 17/2011 dated 21.04.2011 and Circular No. 18/2011 dated 29.04.2011) by allowing paperless compliances by Companies through electronic mode. Thus, Companies are now permitted to send various notices/documents including Annual Reports to its shareholders through electronic mode. We request all shareholders to be a part of this "Green Initiative" and please update your Email id's for all future correspondence with your respective DP's (for shares held in Demat form) or Email id's of our RTA agents, viz. Universal Capital Securities Private Limited by sending a mail to mindteck.investors@uniseq.in or to the Company. The soft copy of Annual Report would be made available at website of the Company. You can also opt for physical copy, by writing to usha.tnram@mindteck.com. If not opted, it is deemed to be accepted to send a soft copy through e-mail.

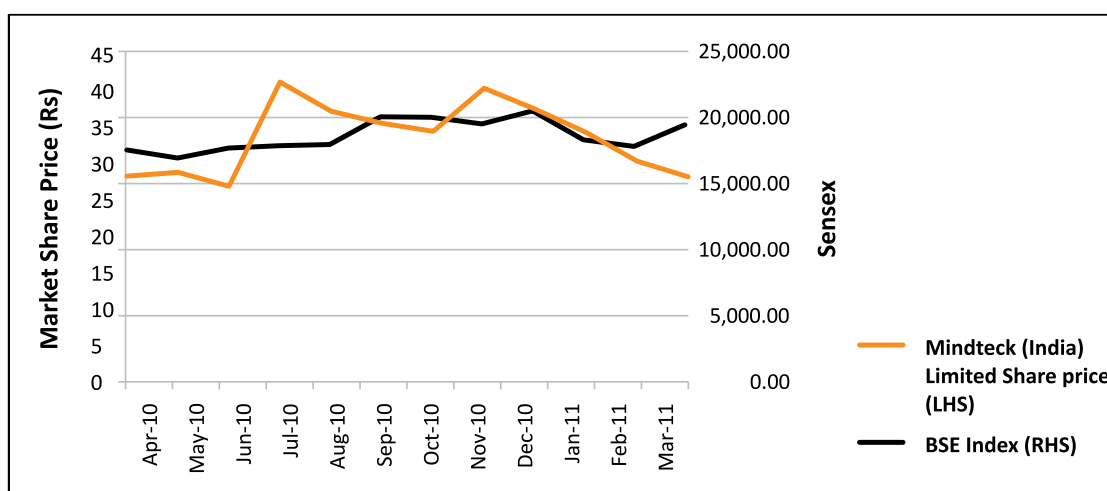
Market Price Data: High, Low of Company's equity shares on the Bombay Stock Exchange, Mumbai during each month in the year ended March 31, 2011:

Month	Sensex		Share Price		Trade	
	High	Low	High Rs.	Low Rs.	No. of shares traded	Value Rs.
April 2010	18,047.86	17,276.80	31.90	24.50	35,118	10,32,235
May 2010	17,536.86	15,960.15	31.70	22.25	30,260	8,40,810
June 2010	17,919.62	16,318.39	30.70	22.00	12,112	3,31,457
July 2010	18,237.56	17,395.58	57.90	26.20	560,426	2,50,21,054
August 2010	18,475.27	17,819.99	44.40	36.90	104,199	42,94,268
September 2010	20,267.98	18,027.12	40.75	34.25	37,864	14,20,897
October 2010	20,854.55	19,768.96	38.40	33.25	21,094	7,41,078
November 2010	21,108.64	18,954.82	47.50	32.00	65,136	27,28,187
December 2010	20,552.03	19,074.57	43.95	33.15	10,503	4,08,843
January 2011	20,664.80	18,038.48	40.95	32.50	17,624	6,19,249
February 2011	18,690.97	17,295.62	33.45	28.00	12,305	3,70,412
March 2011	19,575.16	17,792.17	32.85	25.85	9,156	2,52,818

Performance in comparison to broad-based BSE Index & BSE IT Index:

Month	Closing share price on month's last trading day (Rs)	BSE Index	BSE IT Index
April 2010	28.10	17,558.71	5,357.83
May 2010	28.60	16,944.63	5,174.70
June 2010	26.70	17,700.90	5,319.21
July 2010	40.85	17,868.29	5,474.84
August 2010	36.90	17,971.12	5,375.62
September 2010	35.25	20,069.12	5,947.07
October 2010	34.15	20,032.34	5,992.77
November 2010	40.00	19,521.25	6,094.00
December 2010	37.20	20,509.09	6,824.82
January 2011	34.00	18,327.76	6,371.10
February 2011	30.10	17,823.40	6,106.81
March 2011	28.00	19,445.22	6,548.10

Performance of Mindteck shares in comparison to BSE Index:



On behalf of the Board of Directors

Bangalore
Date: August 11, 2011

Pankaj Agarwal
Managing Director & CEO